India’s policies have created such a situation that too many small firms stay small and unproductive and are not allowed graceful close down. Too many large profitable firms/bisinesses prefer relying on temporary contract labour and machines than on training workers for longer-term jobs. We may visit the problem through two routes:

i. Impediments to Business Growth
ii. Labour Regulations

I. IMPEDIMENTS TO BUSINESS GROWTH

As a group, it is estimated that micro, small, and medium enterprises (MSMEs)[9] employ 81 million people in 36 million units across the country.[10] Yet, many of these firms are unable to grow and/or even shut down. As per a recent study[11], as compared to surviving small firms in the United States which grow spectacularly, surviving small firms in Mexico grow moderately, while surviving small firms in India shrink. Productivity is commensurately lower in India. Indeed, within the MSME group, there is a strong concentration of small enterprises and near non-existence of medium enterprises. And that is the real challenge of the MSME sector—to be able to not just start up, but also continue to grow, thereby becoming a source of sustainable jobs and value creation.

Too many firms in India stay small, unregistered, unincorporated, largely informal, or in the unorganised sector because they can avoid regulations and taxes. These firms have little incentive to invest in upgrading skills of largely temporary workers or in investing in capital equipment that could bring them into the tax net, so their productivity stays low. Low productivity gives them little incentive to grow, completing the vicious circle. These firms face some of the key challenges while starting up and at every level of growth.

Regulatory Environment

The regulatory environment plays an important role in the lifecycle (birth, growth, and death) of MSMEs. We may cite few glaring comparative